

**JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE**

JUDICIAL DEPARTMENT

Case No. Writ Petition No.110187/2017

Umer Atta-ur-Rehman Khan

Versus.

Ministry of Energy, etc.

JUDGMENT

Date of hearing 22.02.2021

Appellant(s) by: Mr. Muhammad Aslam Zar, Advocate.

Respondent (s) by Mr. Aitzaz Aslam Chaudury, Advocate.

ABID AZIZ SHEIKH, J.:- This constitutional petition is directed against order dated 29.9.2017 passed by respondent No.6, whereby, petitioner was dismissed from contract service and order dated 31.10.2017 passed by respondent No.4 whereby his departmental appeal was also declined.

2. Relevant facts are that the petitioner was appointed as Administrative Officer on 27.11.2015 with National Engineering Services Pakistan Pvt. Ltd. (NESPAK) on contract. Subsequently, the petitioner was issued show cause notice and inquiry initiated on the ground that petitioner mis-represented and concealed information by submitting forged transcript during recruitment process. The petitioner was finally dismissed from service on 29.9.2017. The departmental appeal of the petitioner was also dismissed on 31.10.2017, hence this constitutional petition.

3. Learned counsel for the petitioner submits that the petitioner was dismissed from service without giving any proper hearing and notice. He further submits that as there was serious allegation of misconduct, regular inquiry was required to be conducted. He finally submits that as the petitioner was dismissed from service under Clause-4(b)(IV) of Efficiency & Discipline Rules, 1974, which are statutory in nature, therefore, this constitutional petition is maintainable.

4. Learned counsel for respondents, on the other hand, at the very outset, raised preliminary objection that NESPAK is a private Limited Company and its service rules are non-statutory, therefore, this constitutional petition is not maintainable. He further submits that the petitioner being a contract employee cannot seek reinstatement in his service. On merit submits that during recruitment process, petitioner produced forged transcript, which was not verified from the relevant institution, hence, he was dismissed from service after fair opportunity of hearing and regular inquiry.

5. Arguments heard. The threshold question requires determination in this case is that whether rules of NESPAK are statutory or not for the purpose of maintainability of this constitution petition and secondly if contract employee can seek his recruitment. Regarding first question, admittedly, NESPAK is a private limited Company and its Rules namely Employees (Efficiency & Discipline) Rules, 1974 (Rules) are framed by the Board of Directors of the company

under the power conferred on them through Articles of Association of NESPAK. Neither these rules are framed by the Federal Government or approval of the Federal Government nor these rules are made under any statute, therefore, said rules cannot be termed as statutory rules.

6. The Hon'ble Supreme Court of Pakistan in case titled "Executive Counsel Allama Iqbal Open University Islamabad through Chairman and another vs. M. Tufail Hashmi" **2010 SCMR1484** held that *"the employees of those organizations which are performing functions in connection with the affairs of federation can approach the High Courts under Article 199 of the Constitution of the Islamic Republic of Pakistan 1973 (Constitution), but subject to the condition, if their services are protected under the statutory rules."* Similarly, the Hon'ble Supreme Court of Pakistan in case titled "Pakistan International Airline Corporation and others vs. Tanweer-ur-Rehman and others" **(PLD 2010 SC 676)**, held that *"where terms and conditions of service of an employee are not governed by statutory rules, but only by regulations, instructions or directions issued for its internal use, any violation thereof will not, normally, be enforceable through constitution petition."* The Hon'ble Supreme Court of Pakistan in case titled "Pakistan Telecommunication Company through Chairman vs. Iqbal Nasir and others" **(PLD 2011 SC 132)**, held that *"in absence of statutory rules, the principle of 'Master and Servant' would be applicable and such employees would be entitled to seek remedy of damages before the court of competent jurisdiction and cannot invoke constitutional jurisdiction."* In case titled "Syed Nazir

Gillani vs. Pakistan Red Crescent Society and another” (PLD 2014 SCMR 982), Hon’ble Supreme Court of Pakistan held that “*where condition of service of employees of a statutory body are not regulated by rules/regulations framed under the statute, but only rules or instructions issued for its internal use, the violation thereof cannot be enforceable through constitutional petition and employees will be governed by principle of ‘Master and Servant’.*” The same view was also expressed by Hon’ble Supreme Court in case titled “Pakistan Defence Officer Housing Authority and others vs. Ltd. Cool. Syed Jawaid Ahmad” **2013 SCMR 1707**, “Habib Bank Ltd. Vs. The State” **(2013 SCMR 840)** and “Pakistan Airline Pilots Association and others vs. Pakistan International Airline and another” **(2019 SCMR 278)**.

7. In the light of law settled in the afore noted judgments, the rules which are neither issued under any Statute nor with approval of the Federal Government, cannot be treated as statutory rules. The perusal of NESPAK rules shows that same are not framed under any Statute but were made by the Board of Directors of the company/NESPAK in exercise of the powers conferred on it by the Article of Association of the Company. Therefore, these rules are merely regulations, instructions and directions for internal use and management of the Company, hence principle of ‘Master and Servant’ will be squarely applicable to the employees of the company/NESPAK.

8. Further, it is also not disputed that the petitioner was appointed on contract on 27.11.2015 for period of

one year and thereafter, no formal extension is available on record, therefore, the petitioner contract has already stood expired. It is settled law that where contract employee is removed from service, and his contract period has already lapsed, no constitutional petition for re-instate of service is maintainable, rather only damages can be claimed at appropriate forum.

9. In this regard, the Hon'ble Supreme Court of Pakistan in case titled "Federation of Pakistan through Secretary Law Justice and Parliamentary Affairs vs. Muhammad Azam Chattha" **(2013 SCMR 120)**, held that *"in case of termination of services of a contract employee, the said employee instead of pressing for his reinstatement to service for the left over period, can at best claim damages to the extent of unexpired period of his service."* In case titled "Abdul Wahab and others vs. HBL and others" **(2013 SCMR 1383)**, August Supreme Court of Pakistan held that *"where employment of a person is not regulated by any law, but non-statutory rules or contractual stipulations, an infringement of any condition of such contract, shall at the most entitle and clothe the employee to avail his ordinary remedy for breach of contract and wrongful action against him before the court of plenary jurisdiction."* The Hon'ble Supreme Court in case titled "Pakistan International Airline Corporation and others vs. Tanweer-ur-Rehman and others" **(PLD 2010 SC 676)**, held that *"as service of employee was governed by contract between the parties and not statutory rules framed with approval of the Federal Government, they will be governed by the principle of 'Master and Servant' and writ petition will*

not be maintainable.” The same view was also expressed in the following case laws:-

(i) “Pakistan Telecommunication Co. LTD through chairman vs. Iqbal Nasir and other” (2011 PLC (CS) 623), (ii). “Rizwan Ahmed Bhatti vs. Federation of Pakistan and 3 others. (2012 PLC (CS) 681), (iii) “Naweed Akhtar Cheema vs. Chairperson, TEVTA and others” (2011 PLC (CS) 803), (iv) “Aq. Crd. (Rtd.) Irshad Ahmad Vs. National Highway Authority through Chairman and another.” (2011 PLC (CS) 663), and (v) “Lt. Col. (Retd.) Aamir Rauf Vs. Federation of Pakistan through Secretary Ministry of Defence and 3 others”. (2011 PLC (CS) 654).

10. In view of above discussion, without touching merits of the case lest it may not prejudice case of either party, this petition is dismissed being not maintainable.

(ABID AZIZ SHEIKH)
JUDGE

APPROVED FOR REPORTING.

JUDGE